

02 October 2020

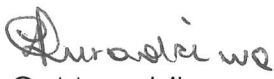
To: Principal Officers- All registered life insurers
Principal Officers- All registered non-life insurers
Principal Officers- All registered funeral assurers
Chairperson- Life Offices Association (LOA)
Chairperson- Insurance Council of Zimbabwe (ICZ)
Chairperson- Zimbabwe Insurance Brokers Association (ZIBA)
Chairperson- Zimbabwe Association of Pension Funds (ZAPF)
Chairperson- Zimbabwe Association of Funeral Assurers (ZAFA)

**RE: APPOINTMENT OF ATCHISON ACTUARIAL SERVICES TO CARRY OUT AN
ANALYSIS OF THE INSURANCE INDUSTRY'S SEPARATION OF ASSETS BETWEEN
POLICYHOLDERS AND SHAREHOLDERS ACCOUNTS**

1. As you may be aware, the Commission is undertaking a project in which it seeks to assess compliance by the insurance industry with the requirements of section 29 of the Insurance Act [Chapter 24:07] and section 16 of the Pension and Provident Funds Act [Chapter 24:09]. This strategic project has been necessitated by notable non-compliance by several insurance companies against the aforementioned legal requirements.
2. This non-compliance was also observed and highlighted by the Commission of Inquiry into the Conversion of Insurance and Pension Values from Zimbabwe Dollar to United States Dollar (COI) which was concluded in 2017. IPEC has been mandated to ensure implementation of most of the COI recommendations, including the need to ensure that policyholder and shareholder assets are separate as required in terms of the applicable legislative provisions.

3. We hereby notify you that the Commission has appointed Atchison Actuarial Services to work together with our team to carry out an analysis on the separation of assets between policyholders and shareholders as required in terms of the law.
4. You are required to provide information specified in Annexure 1 to this Circular. The information specified in Annexure 1 should be submitted to the Commission on or before the 15th of October 2020.
5. If you require any clarifications regarding this project and the information being requested, please contact any of our staff members listed in Annexure 2 to this Circular.

Your usual co-operation will be greatly appreciated.


G. Muradzikwa

Commissioner of Insurance, Pension and Provident Funds

ANNEXURE 1

CHECKLIST OF DATA REQUIRED FROM EACH INSURANCE COMPANY FOR ASSESSMENT OF SEPARATION OF ASSETS BETWEEN POLICYHOLDERS AND SHAREHOLDERS

Name Company:

Document/Report	Submission (Yes/No)
Memorandum and Articles of Association	
Product literature and sample policy documents	
Audited Financial Statements from 2006 to 2019	
Actuarial Valuation Reports from 2006 to 2019	
IPEC annual submissions	
Asset valuation and asset performance reports	
Investment Policy Statement	
Marketing literature distributed to policyholders	
Risk management reports, if any?	
State the pre-retirement mortality tables commonly used for pricing of life insurance policies	
State the post-retirement mortality tables commonly used for pricing annuity business	
State tables used for determining healthcare premiums	
Company-specific pricing basis for life policies, retirement annuity policies and healthcare products.	
Rules/policy on profit sharing	
Records showing evidence of profit sharing between policyholder and shareholder	

NOTE: PLEASE ENSURE THAT ALL THE DOCUMENTS ON THIS LIST ARE SUBMITTED TO IPEC.

Name of Principal Officer:

Principal Officer's Signature:

ANNEXURE 2

IPEC CONTACT PERSONS FOR THE ASSET SEPARATION EXERCISE

Name	Email
1) Robson Mtangadura	rmtangadura@ipec.co.zw
2) Patrick Gombe	pgombe@ipec.co.zw
3) Mary Takavarasha	mtakavarasha@ipec.co.zw
4) Tinashe Mazhangara	tmazhangara@ipec.co.zw
5) Memory Macharaga	mmacharaga@ipec.co.zw
6) Exeaviour Shumba	eshumba@ipec.co.zw
7) Nyarai Manyenga	nmanyenga@ipec.co.zw